

hard or soft pegged to the underlying asset depending on the mechanism. With a market capitalization of \$5 billion as of writing, the most popular crypto-collateralized stablecoin is DAI, created by MakerDAO⁹ and backed by ETH and other crypto assets. It is soft pegged with economic mechanisms that incentivize supply and demand to drive the price to \$1. We will do a deep dive into MakerDAO and DAI in Chapter 6. Another popular crypto-collateralized stablecoin is sUSD, which is hard pegged to \$1 through the Synthetix¹⁰ network token (SNX) exchange functionality. Crypto-collateralized stablecoins have the advantages of decentralization and secured collateral. The drawback is that their scalability is limited. To mint more of the stablecoin, a user must necessarily back the issuance by an overcollateralized debt position. In some cases like DAI, a debt ceiling further limits the supply growth.

The last and perhaps most interesting class of stablecoins are non-collateralized. Not backed by any underlying asset and using algorithmic expansion and supply contraction to shift the price to the peg, they often employ a seigniorage model where the token holders in the platform receive the increase in supply when demand increases. When demand decreases and the price slips below the peg, these platforms issue bonds of some form, which entitle the holder to future expansionary supply before the token holders receive their share. This mechanism works almost identically to the central bank associated with fiat currencies, with the caveat that these platforms have an explicit goal